

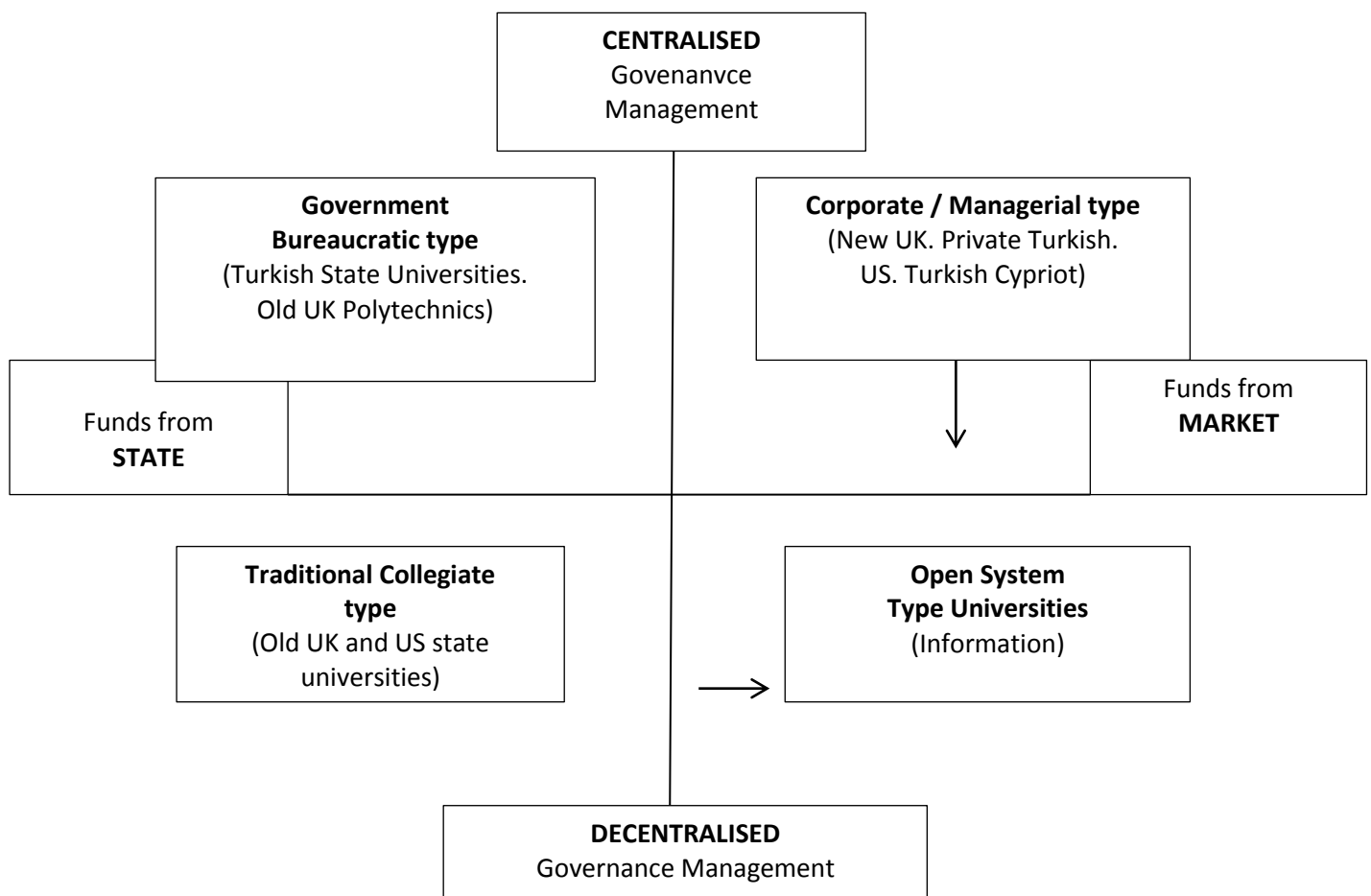
Evolution of the Missions and Management of Universities as Non-Profits Finding a New Model

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Note: This paper is adopted from the discussion chapter of the PhD thesis carried out on the topic, "Evolution of the missions and management of selected universities in our countries".

Depending on how and where the funds come from to the university, the governance and management structure of the university can vary from a top down strong centralised system to a more decentralised system with more autonomous academic units. The diagram suggested by Michael (1997) can further be developed with other dimensions discovered during the course of this research. Figure 14-1 is a new illustration of how the author sees the relationship of sources of funding to the governance and management of those universities, which for the purpose of this research were selected from four different countries. The sources of funding can be out as one dimension showing state funds on the one hand and income from the market on the other.

Figure 14-1 Relationship of sources of Funding with Governance/Management Structure in Universities



¹Developed by the author

The external and internal culture of a particular university and the grassroots effects will determine which quadrant in Figure 14-1 a university will be placed, (Trowler 1998 Middlehurst 1993, Hofstede 1980). There is an attempt to put the selected types of universities of the four different countries in the diagram as shown above.

The most important contribution of this exercise is that as the sources of funding are changing, and funds directly from the market industry and even government agencies are replacing block grants from the state, universities therefore are moving from the left- hand quadrants of the grid to the right-hand quadrants. Whether they will move to the centralised management/governance of the market/industry end of the illustration described as the 'Corporate Managerial type' or to the decentralised market/industry oriented quadrant described as 'Open System type' will be determined by the external and internal culture of the university.

The research results indicate that traditional UK universities have a more decentralised culture in running their affairs, so they might adapt to the new open system university with a decentralised management structure rather than trying to have a top-down corporate managerial type of structure. In this case however, the lower down academic units need to learn to be more entrepreneurial and to accept the need for a professional academic manager who will manage the affairs of their academic unit as a responsibility centre with a participative style of management.

It is possible to see relatively more corporate managerialism in the US private universities as well as the private universities emerging in Turkey and in the Turkish Cypriot community, which is explained by the cultural environment that exists.. In the US, corporatism is more familiar but in Turkey the centralised state bureaucracy culture makes it difficult for universities to quickly move to a decentralised system. This is the reason why these universities are placed in the corporate/managerial quadrant, as they are becoming increasingly more market and industry oriented. Also, included in this quadrant are the old polytechnics which are more used to the centralised state bureaucracy.

An assistant director at a UK university referred to the competing structures in his interview as 'Committees versus Management'. Committees were described to be more powerful in traditional universities and the management more influential in the new universities. He suggested that the new universities come from a tradition of more autocratic and dictatorial management style but have to revise themselves when they become universities and start relating to the old universities.

Finally, it can be stated that during this transitional period, when the research was carried out, elements of different cultures were traced in the same institution: sometimes in harmony and some times in conflict with each other. Therefore, it is only possible to categorize these universities in different quadrants or types by the degree of dominance of one culture with respect to other cultures. This matter was also stressed with a quotation from Shattock (2002) who suggested that:

..... Institutions work best when governance is seen as a partnership between the corporate and the collegial approaches, and where a sense of common purpose informs the balance of the relationship."

However, it can be argued further at this stage that the general trend is for all universities to gradually converge to the 'open system' quadrant but, depending on their internal and external environmental circumstances and cultures, at different paces. This does not mean the demise of all other types of cultures in these institutions. The dominance of openness, entrepreneurialism, decentralisation and professionalism will respond to the contemporary changes.

Universities as Open Systems

One model of the new university could be a confederation of not just different academic units but also a confederation of academic professionals who see a value in being together. The value stems from how much each academic unit or academic professional will be servicing the needs of the society, whether this produces pure sciences where the client will be the state or society (channelled through its governments), or whether this will be applied research where the client is a private business or other non-profit organisations. Alternatively, it could be undergraduate training where the client will be either the student or the parent.

The community, and local and national governments should be able to subscribe to the general needs of the society in terms of producing pure science, technology and knowledge. The courses of Liberal Arts and Sciences, as well as those activities of the universities which contribute to the quality of life of the community, could be funded by the government. In other words, if the government wants to extend the horizons of knowledge through universities as a will of the society it should be ready to put money in for pure research rather than applied research, which can be funded for more short-term hands-on problems of the society.

Some might think that undergraduate education, like primary/secondary education, should be society's responsibility, in which case the society can decide to be the client through its government and pay for the services of the universities or academic units in the form of undergraduate education.

Decentralisation is needed not in the traditional collegiate sense but in terms of devolution of budgets being the responsibility of profit centres, and not the cost centres. Decentralisation will bring the lower units in the organisation face-to-face with the demands of the society. This means there will be income for service rather than having small closed autonomous units not concerned with finances. The role of the central management should be reversed from being a directing role to a co-ordinating and facilitating role in return for contributions paid by lower units to cover the expenses of the central administration.

If the central management continues to be the fundraiser, allocating budgets for the expenditure of the academic units, it will be very difficult to have decentralised units with a lot of autonomy with devolved budgets.

These findings are in accord with Keith's (1998) *'Responsive University'*. Keith's approach, however, was missing the fundamental element in introducing the new type of university which he called *'Responsive University'*. That element is the important role to be played by the academic units as **responsibility centres** and heads of these

centres as professional academic managers. These concepts will be further elaborated in the following sections.

Academic Units as Responsibility Centres

Academic units in open system universities are entrepreneurial service providers for various clients. These clients can be governments, industry, students/parents, private businesses or even the university or academic units within the same university.

A principle can be agreed in universities to let academic units earn their own funds through teaching, research, training and consulting and other similar professional activities and services. In this way, they manage their affairs in a more autonomous manner. This could also reduce the relationship of these units with the central administration to one of selling and purchasing services to and from the central administration and government agencies.

This might look like a step back to the old traditional collegiality in universities when autonomous academic units were sometimes called the colleges. However, it is not quite the same in the sense that the old colleges managed to receive good sums of money from the government and in some cases other charitable sources. However, the trend with the UK universities is towards receiving more funds directly from industry and the market, mainly the student body. Therefore, the management style needed to run these units differs fundamentally from the collegial model. where the management issues are trivial administrative issues, conveniently subordinated to the functions of the academia.

The contemporary academic units have to earn not only their academic freedom through improved quality but also have to earn their administrative/managerial autonomy through more applied research, innovation, fundraising activities and service to the public in order to raise a respectable portion of their budget.

An alternative way of organising and managing higher education institutions to the abovementioned description is to have managerial departments at the central management level which can enter into business-like contracts with the departments and schools so that they can provide managerial services to the departments as they see fit in order to keep their profit centres sustainable. However, it might be very costly for a small school, college or department to set up its own managerial department to deal with the market. On the other hand, this can be overcome by having common and central professional managerial services for these academic units provided by the Central Management. Here, the important point is to have an equitable business relationship between the academic units and the management services rather than having the central management commanding the academic units from the top in a hierarchical and bureaucratic manner. However, for this to happen there is a need for a **professional academic manager**, and not an academic leader or non-academic professional manager. A professional academic manager together with a representative management group can pursue and secure these business contracts for his or her department.

If the academic unit, school, department or college in question is a large unit with high capacity and potential to turn over large income for its academic services to the

students or community, then it might be worth having tasks such as PR and Promotion or Business Development organised within the academic unit under the professional academic manager and the management group.

The departments that are able to deal with the market directly and charge their own fees are showing a different pattern to those only relying on funds coming from funding agencies for undergraduate students.

A research centre at a UK university, for example, managed to change its management structure faster than a teaching department that is in the same faculty. The research centre's current problem, as far as management is concerned, is to have a more professional academic manager who prefers management to academic leadership.

The teaching department on the other hand, being reliant on a budget allocated from the top, is having conflicting relations with the central management and finds it hard to restructure its management to diversify its income sources. The pressure coming from the top therefore translates into more pressure on academic staff to become more efficient.

A head of department explained this situation in his interview:

"So we got X, which you know as a research centre in the business faculty surviving totally on research income employing 20+ people full time from research income. Some of the other faculties have a similar set-up: the IT faculty has a similar set up and the engineering faculty also relies heavily on research money. Then, there's the business area. We have very little research money coming in, and the sort of research money that we started to get is a kind of quasi- research consultancy type of money. But we are not relying heavily on that. We don't have the reputation to get bids very easily. And we don't actually have the capacity to deliver on a bid should we get it. So it's relatively small. The other source of income for us is the postgraduates. And that tends to be a high fee and a relatively low cost but the postgraduate is a very hard market to be in. Because they are paying a lot, they demand a lot. Because there is a lot of money to make, a lot of universities want to get into that market place. So, it's a very difficult market."

Vice Chancellors/ Presidents/ Rectors as Institutional Leaders

It was apparent from the findings of the interviews that it was not the changes in the mission statements which were really causing the change in the management style in those selected universities, but rather the style of the individual leader or the top leadership as well as the funding sources and funding methods used in those institutions that determined more or less the management style in that institution.

An unclear distinction is emerging in higher education institutions between four very important notions: Institutional/Organisational Leadership; Academic leadership; Management; and, Administration.

Institutional/organisational leadership is vested in the position of the President/Vice-Chancellor/Director/Rector and deals with leading the institution through turbulent

environmental changes, building bonds between the institution and the community, industry, and government, and establishes collaboration and partnership with various organisations. Institutional/organisational leadership also makes sure that everyone is on board with the mission and vision of the institution and includes empowering and motivating staff to work for common goals and objectives.

Management or 'managerialism' in the universities emerged as a result of the need for this new type of institutional leadership. It became a way of implementing the new goals and objectives brought by the institutional leadership in order to cope with the fundamental and swift changes taking place in the environment. Institutional leaders have been subject to heavy environmental pressures through government or funding agencies, especially from the governments. They attempted to instigate new management systems for better quality, value for money, efficiency and effectiveness. This did not necessarily have the full support of the academic staff and administrators as an attempt had been made to introduce new managerial systems and policies through their close academic associates and in some cases using professional managers. In fact, there has been a considerable degree of resentment to this new development.

There has to be another way of institutional leadership to cope with these developments which, in Drucker's terms, is like being a conductor of a symphony orchestra (Drucker 1988); let the academic leaders on the one hand and academic managers on the other develop themselves in as much of a professional way as possible. This way lets them develop healthy relations with the outside world and merely tries to keep their work in tune with institutional goals rather than telling them how to play their instruments. Only this will release the tension on the higher education institution and the tension on the institutional leaders.

Academic Leaders as Discipline Managers

Is the long lasting scholarship and production of pure rather than applied knowledge becoming endangered and subjugated to the short-term applied needs of the market and industry in this system? Not necessarily. If societies wish to continue this most valuable academic activity, it can push their government to use those taxes to enter into long-term contractual relationships with individual academics, single academic units, academic institutions in the form of universities, or even with a consortium of service providers.

Academic leadership is not an institutional concept in an open system university. An academic leader is a leader in his or her subject discipline. He or she is more concerned and occupied with what is going on in the world within the boundaries of his or her subject discipline. With increasing sophistication and accessibility of communication means, it is very convenient for academics to form allegiances with peers and colleagues in other institutions throughout the world and produce academic work. Therefore it is inescapable that academic leaders will not be subjected to the organisational boundaries imposed by any kind of management system. This relationship has to be a professional contractual relationship for these people to provide services to the academic units in the form of research and teaching.

It is very difficult for the academic leaders to provide the necessary organisational and/or institutional leadership for higher education institutions in the form needed to cope with the changing environment. **Their leadership will be a more cosmopolitan one.** Therefore, if academic leaders are expected to provide organisational leadership in universities there are bound to be tensions and conflicts. An academic leader will not be a good one if he/she restricts his/her work to the peer group within his/her academic unit. These leaders will be tempted to establish links with peers in other Institutions with different expectations and organisational allegiances. Thus, academic leaders will be good leaders if they can accommodate the needs and limitations of not only the academics working in their organisations but also academics working in other organisations.

It will create conflicts and tensions for the institution if the academic leaders are expected to carry out organisational or institutional leadership. However, it will not be as difficult for them to conform to institutional goals and objectives.

A director of a UK university explained in his interview that:

..... there is also the issue where moral authority within a particular department lies., Does it lie with the research leader on the cutting edge admired by his or her colleagues for their contributions, playing significant role in the way that the university is perceived from outside, or does it lie with the person who is organizing the resources, making sure the students are registered. making sure the timetables work, making sure that the examinations are properly and effectively conducted? Often in the past there has been a view that those two things should converge. Your natural academic leader in that first sense is also a person who should be the head of department or should be the dean. And then you can sometimes have severe difficulties when the capacities that made somebody an academic leader in the discipline are not effectively applied to the everyday tasks of keeping the teaching and learning, and research process going. Occasionally, those two things do come together, but it's my view that both jobs need to be effectively done. And, for example, you will note that we have a professoriate in the institution and about 25 members of the institution are professors. Not all of those are Heads of Department, not all of those are deans and we have some deans and some heads whose talents do not lie so much in academic leadership of the first kind but who do a vitally important and effective job for us. That is one of the many ambiguities that creatively applies across the institution"

The challenge is therefore how can one merge academic leadership with institutional leadership so that the conflict transforms into cooperation and synergy within the universities? It seems that it will be a very difficult task to subordinate the academic profession to the management profession. Will be too much of a luxury to insist that management in universities should be subordinated to the noble needs of the academia and reduced to being just administrative support for the activities of the academic staff, as it was in the traditional universities in the UK.

Academic Heads as Professional Academic Managers

In comparing 1993/4 to 2000/01, there is relatively more tolerance and acceptance of the market orientation by academic managers in 2000/01. There is greater realisation

of the need to establish links with industry and private businesses. There is also a readiness on the part of academic heads and deans to accept being managers stressing the need to take a new role. It is neither the professional corporate managers nor professional academic leaders whose foremost priority and loyalty is to their academic discipline and academic peers internally and externally. This is recognition that academics, although in general are performing a unique type of job need to be led in the right direction to be more efficient and effective and to serve the needs of the institution more than they used to do. This role can only be performed by academic managers rather than the academic leaders. They can combine the academic needs of their departments and faculties with those institutional needs of the universities.

There can be a place for a third profession in universities. This is the profession of **academic managers**. They need to be drawn from academia and should be equipped with the right skills to become good managers who are able to cope with and coach the academic staff. They also need to be able to combine the goals and objectives of academic leadership with the goals and objectives of institutional leadership. Their conflict resolution capabilities are most needed in times of organisational change in order to merge those institutional or organisational goals and objectives with the grassroots values and aspirations of academic staff.

The key to all of this is that the institutional mission, or goals and objectives, should not be transmitted from top to bottom but rather is dialectically designed by the top leadership with grassroots staff. It is exactly at this junction that the skills of the academic managers are needed most. Included in these is the ability to facilitate and coordinate the design and attainment of the mission, goals and objectives.

Two factors play a part in academic managers of different levels, whether they are dean, head, director or coordinator, fulfilling this critical and important role.. Firstly, the pressures coming from the environment should not only be directed to the top management but also to academic managers at all levels. This requires more autonomous academic units in terms of not just spending but also income. Devolved budgets should encompass both income and expenditure. One could even go further and argue that cost centres should be transformed into responsibility centres (also described as profit centres). Secondly, the academic managers should not be just managers or academics, they should be both. In order to be both, academic achievements should not be the only aspect contributing to making someone an academic manager.

It is also becoming clearer that academic managers cannot become good, dedicated, performing and proud managers just by management training in contemporary management techniques. Making them powerful, responsible and accountable are just as important. Academic managers can be powerful by decentralisation and devolution of decision-making. Making them responsible is possible by empowering them with not just spending but also earning. Making them accountable is possible not by bureaucratic rules and procedures but by making them transparent and accountable to customers whether they are the students, government, industry, private businesses or the community at large. In this kind of a system, institutions will survive as a whole if they provide value to the educational and other academic units within the institution. If not, a new form of collegiality will develop with a new form of professional academic

managers who will be managing almost independent academic units in a much more entrepreneurial and community/industry integrated fashion.

There is a need therefore to inspire academia to be more management oriented by conducting separate academic management courses in the form of on-the-job training. At present, it is usual to transform managers into pure professional managers or import professional managers to academic institutions. They try to manage the most sophisticated and complex resources of the higher education institution, not forgetting the mere fact that the determining resource of these institutions is the academic staff who have allegiance not only to the institution but more to their academic discipline and individual academic unit.

There are also interactive management methods used by some profit organisations as well as non-profit organisations where the skill is to resolve conflicts and reach consensus on difficult managerial issues. These methods will involve brainstorming workshops as well as cognitive mapping of problems. The importance of these workshops lies in the fact that the people running them, whether they come from academia or management, will be facilitating rather than chairing, directing or managing the participants.

Another suggestion can be the design of special academic management programmes for those academic staff who would be interested in managing departments or schools. These programmes should be simple, effective, management programmes that can be readily understood and adopted by the academic managers.

One could recognise that there are actually three major functions that a higher education institution performs. These are: teaching, research and management. Traditionally, in universities, the research function was considered to be the main function of universities and the other two functions were secondary. This is reflected in the performance and promotion criteria used in most universities for the advancement of academic staff in their career. Universities were also rated on the amount of research and publications they managed to carry out. In universities, neither a success/achievement in teaching, nor a success/ achievement in management received proper recognition and reward.

One could therefore propose that if the universities are to cope with the changing environment, are to become more open and market oriented, and if these developments require that universities are managed better, there could be systems instigated within these institutions that encourage the academic staff to become better teachers as well as researchers. It also enables them to opt for being professional academic managers without having to give up their opportunity of advancement or the prestige that comes with pure academic advancement.

Academic Staff as Self-Managers

Where do academic staff fit into this new picture? It can be argued that academic staff will be relieved from the pressures of having to manage things when their preference is more to do with academic research and teaching. The requirement is to lead teams and groups of academics as academic leaders not only in their own local institution but also in a much more cosmopolitan way with academic colleagues throughout the

world. They have to be able to manage their own individual contracts within the academic unit they belong to as well as contracts they secure from outside parties. There will be a need for academic staff to identify themselves with, and achieve administrative support from their academic units, which they will be able to contribute to from, the income they earn for the department. It can be beneficial and wise to form consultative or executive councils in academic units to have representation of those who are contributing to the survival of the unit, whether in the form of intellectual capital or in project funds.

There is also increasing conflict and tension in working conditions and contracts of academic staff. One model can be that academic tenureship should be interpreted as freedom of research, writing, expression and other academic activity and not as lifelong security for a position in an academic institution. Furthermore, the academic managers can be allowed to enter into free contractual and professional relationships with academic staff. However, being the professional people they are their professional activities cannot be restricted to their activities within their own institutions. They should be allowed to enter into contractual relationship with other institutions and their contribution to their own organisation, as a result of these individual project contracts, can be subject to individual negotiation in their employment contract and not part of the overall rules and procedures of the university.

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